

House File 2771

S-5254

1 Amend House File 2771, as amended, passed, and reprinted by  
2 the House, as follows:

3 1. By striking everything after the enacting clause and  
4 inserting:

5 <DIVISION I

6 DEPARTMENT OF AGRICULTURE AND LAND STEWARDSHIP

7 PART A

8 GENERAL APPROPRIATIONS

9 Section 1. GENERAL FUND.

10 1. There is appropriated from the general fund of the state  
11 to the department of agriculture and land stewardship for the  
12 fiscal year beginning July 1, 2026, and ending June 30, 2027,  
13 the following amount, or so much thereof as is necessary, to be  
14 used for the purposes designated:

15 For purposes of supporting the department, including its  
16 divisions, for administration, regulation, and programs; for  
17 salaries, support, maintenance, and miscellaneous purposes; and  
18 for not more than the following full-time equivalent positions:  
19 ..... \$ 20,733,294  
20 ..... FTEs 420.00

21 2. Of the amount appropriated in subsection 1, the following  
22 amount is transferred to Iowa state university of science and  
23 technology to be used for the university's midwest grape and  
24 wine industry institute:

25 ..... \$ 325,000

26 3. The department shall submit a report each quarter of  
27 the fiscal year to the general assembly and the department  
28 of management. The report must describe in detail the  
29 expenditure of moneys appropriated in this section to support  
30 the department's administration, regulation, and programs.

31 Sec. 2. UNCLAIMED PARI-MUTUEL WAGERING WINNINGS —  
32 HORSE AND DOG RACING. There is appropriated from the moneys  
33 available under [section 99D.13](#) to the department of agriculture  
34 and land stewardship for the fiscal year beginning July 1,  
35 2026, and ending June 30, 2027, the following amount, or so

1 much thereof as is necessary, to be used for the purposes  
2 designated:

3 For purposes of supporting the department's administration  
4 and enforcement of horse and dog racing law pursuant to section  
5 99D.22, including for salaries, support, maintenance, and  
6 miscellaneous purposes:

7 ..... \$ 305,516

8 Sec. 3. RENEWABLE FUEL INFRASTRUCTURE FUND — MOTOR  
9 FUEL INSPECTION. There is appropriated from the renewable  
10 fuel infrastructure fund created in [section 159A.16](#) to the  
11 department of agriculture and land stewardship for the fiscal  
12 year beginning July 1, 2026, and ending June 30, 2027, the  
13 following amount, or so much thereof as is necessary, to be  
14 used for the purposes designated:

15 For purposes of the inspection of motor fuel, including  
16 salaries, support, maintenance, and miscellaneous purposes:

17 ..... \$ 500,000

18 Sec. 4. SPECIAL APPROPRIATIONS FROM GENERAL FUND. There  
19 is appropriated from the general fund of the state to the  
20 department of agriculture and land stewardship for the fiscal  
21 year beginning July 1, 2026, and ending June 30, 2027, the  
22 following amounts, or so much thereof as is necessary, to be  
23 used for the purposes designated:

24 1. DAIRY REGULATION

25 a. For purposes of performing functions pursuant to section  
26 192.109, including conducting a survey of grade "A" milk and  
27 certifying the results to the secretary of agriculture:

28 ..... \$ 189,196

29 b. Notwithstanding [section 8.33](#), moneys appropriated in  
30 this subsection that remain unencumbered or unobligated at the  
31 close of the fiscal year shall not revert but shall remain  
32 available for expenditure for the purposes designated until the  
33 close of the succeeding fiscal year.

34 2. LOCAL FOOD AND FARM PROGRAM

35 a. For purposes of supporting the local food and farm

1 program pursuant to [chapter 267A](#):

2 ..... \$ 125,000

3 b. The department shall enter into a cost-sharing agreement

4 with Iowa state university of science and technology to support

5 the local food and farm program coordinator position as part of

6 the university's cooperative extension service in agriculture

7 and home economics pursuant to [chapter 267A](#).

8 c. Notwithstanding [section 8.33](#), moneys appropriated in

9 this subsection that remain unencumbered or unobligated at the

10 close of the fiscal year shall not revert but shall remain

11 available for expenditure for the purposes designated until the

12 close of the succeeding fiscal year.

13 3. AGRICULTURAL EDUCATION

14 a. For purposes of allocating moneys to an Iowa association

15 affiliated with a national organization that promotes

16 agricultural education providing for future farmers:

17 ..... \$ 150,000

18 b. Notwithstanding [section 8.33](#), moneys appropriated in

19 this subsection that remain unencumbered or unobligated at the

20 close of the fiscal year shall not revert but shall remain

21 available for expenditure for the purposes designated until the

22 close of the succeeding fiscal year.

23 4. FOREIGN ANIMAL DISEASES AFFLICTING LIVESTOCK

24 For deposit in the foreign animal disease preparedness and

25 response fund created in [section 163.3B](#):

26 ..... \$ 1,050,000

27 5. FARMERS WITH DISABILITIES PROGRAM

28 a. For purposes of supporting a program for farmers with

29 disabilities:

30 ..... \$ 230,000

31 b. The moneys appropriated in this subsection shall be

32 used for the public purpose of providing a grant to a national

33 nonprofit organization with over 80 years of experience in

34 assisting children and adults with disabilities and special

35 needs. The moneys shall be used to support a nationally

1 recognized program that began in 1986 and has been replicated  
2 in at least 30 other states, but is not available through  
3 any other entity in this state, and that provides assistance  
4 to farmers with disabilities in all 99 counties to allow the  
5 farmers to remain in their own homes and be gainfully engaged  
6 in farming through provision of agricultural worksite and home  
7 modification consultations, peer support services, services  
8 to families, information and referral, and equipment loan  
9 services.

10 c. Notwithstanding [section 8.33](#), moneys appropriated in  
11 this subsection that remain unencumbered or unobligated at the  
12 close of the fiscal year shall not revert but shall remain  
13 available for expenditure for the purposes designated until the  
14 close of the succeeding fiscal year.

15 6. LOESS HILLS DEVELOPMENT AND CONSERVATION FUND

16 a. For deposit in the loess hills development and  
17 conservation fund created pursuant to [section 161D.2](#):

18 ..... \$ 300,000

19 b. (1) Of the amount appropriated in this subsection,  
20 \$260,000 shall be allocated to the fund's hungry canyons  
21 account.

22 (2) Not more than 10 percent of the moneys allocated in this  
23 paragraph may be used for administrative costs.

24 c. (1) Of the amount appropriated in this subsection,  
25 \$40,000 shall be allocated to the fund's loess hills alliance  
26 account.

27 (2) Not more than 10 percent of the moneys allocated in this  
28 paragraph may be used for administrative costs.

29 7. SOUTHERN IOWA DEVELOPMENT AND CONSERVATION FUND

30 a. For deposit in the southern Iowa development and  
31 conservation fund created pursuant to [section 161D.12](#):

32 ..... \$ 100,000

33 b. Not more than 10 percent of the moneys appropriated in  
34 this subsection may be used for administrative costs.

35 8. GRAIN REGULATION

1 For the administration and enforcement of [chapters 203](#)  
2 and [203C](#), including salaries, support, maintenance, and  
3 miscellaneous purposes:  
4 ..... \$ 350,000  
5 9. CHOOSE IOWA FUND  
6 a. For deposit in the choose Iowa fund created in section  
7 187.201:  
8 ..... \$ 2,113,000  
9 b. (1) Of the amount appropriated in this subsection,  
10 the department shall use at least \$500,000 to support the  
11 value-added agricultural grant program created in section  
12 187.321.  
13 (2) Of the amount appropriated in this subsection, the  
14 department may use up to \$1,113,000 to support the choose Iowa  
15 promotional program as provided in chapter 187, subchapter III,  
16 part 1.  
17 (3) Of the amount appropriated in this subsection, the  
18 department shall use at least \$500,000 to support the dairy  
19 innovation and revitalization program created in section  
20 187.311.  
21 c. The department may increase or decrease the amount of  
22 moneys used to support a program described in paragraph "b"  
23 based on the amount of moneys awarded to persons participating  
24 in the program. The department shall publish a notice of the  
25 department's action to increase or decrease the amount on the  
26 department's internet site where the programs are advertised at  
27 least thirty days prior to the day that the department takes  
28 such action.  
29 10. CHOOSE IOWA FOOD BANK PURCHASING PROGRAM  
30 a. For purposes of supporting the choose Iowa food  
31 bank purchasing program to assist eligible participants in  
32 purchasing qualified food products pursuant to [section 187.331](#):  
33 ..... \$ 200,000  
34 b. Notwithstanding [section 8.33](#), moneys appropriated in  
35 this subsection that remain unencumbered or unobligated at the

1 close of the fiscal year shall not revert but shall remain  
2 available for expenditure for the purposes designated until the  
3 close of the succeeding fiscal year.

4 PART B

5 CONTINGENT APPROPRIATIONS

6 Sec. 5. CHOOSE IOWA SCHOOL PURCHASING PROGRAM.

7 1. There is appropriated from the general fund of the state  
8 to the department of agriculture and land stewardship for the  
9 fiscal year beginning July 1, 2026, and ending June 30, 2027,  
10 the following amount, or so much thereof as is necessary, to be  
11 used for the purposes designated:

12 For purposes of supporting the choose Iowa school purchasing  
13 program to assist eligible schools and school districts in  
14 purchasing qualified food products pursuant to section 187.307:  
15 ..... \$ 200,000

16 2. Notwithstanding section 8.33, moneys appropriated in  
17 this section that remain unencumbered or unobligated at the  
18 close of the fiscal year shall not revert but shall remain  
19 available for expenditure for the purposes designated until the  
20 close of the succeeding fiscal year.

21 Sec. 6. CONTINGENT EFFECTIVE DATE. This part of this  
22 division of this Act takes effect July 1, 2026, if 2026 Iowa  
23 Acts, House File 2748, or successor legislation, is enacted.

24 DIVISION II

25 DEPARTMENT OF NATURAL RESOURCES

26 Sec. 7. GENERAL FUND.

27 1. There is appropriated from the general fund of the state  
28 to the department of natural resources for the fiscal year  
29 beginning July 1, 2026, and ending June 30, 2027, the following  
30 amount, or so much thereof as is necessary, to be used for the  
31 purposes designated:

32 For purposes of supporting the department, including its  
33 divisions, for administration, regulation, and programs; for  
34 salaries, support, maintenance, and miscellaneous purposes; and  
35 for not more than the following full-time equivalent positions:

1 ..... \$ 12,816,738  
 2 ..... FTEs 1,145.95  
 3     2. Of the number of full-time equivalent positions  
 4 authorized to the department pursuant to subsection 1, 50.00  
 5 full-time equivalent positions shall be allocated by the  
 6 department for seasonal employees for purposes of providing  
 7 maintenance, upkeep, and sanitary services at state parks.  
 8 This subsection shall not impact conservation officer, park  
 9 ranger, or park manager positions within the department.  
 10     3. The department shall submit a report each quarter of  
 11 the fiscal year to the general assembly and the department of  
 12 management. The report must describe in detail the expenditure  
 13 of moneys appropriated under this section to support the  
 14 department's administration, regulation, and programs.  
 15     Sec. 8. STATE FISH AND GAME PROTECTION FUND — REGULATION  
 16 AND ADVANCEMENT OF OUTDOOR ACTIVITIES.  
 17     1. There is appropriated from the state fish and game  
 18 protection fund created pursuant to [section 456A.17](#) to the  
 19 department of natural resources for the fiscal year beginning  
 20 July 1, 2026, and ending June 30, 2027, the following amount,  
 21 or so much thereof as is necessary, to be used for the purposes  
 22 designated:  
 23     For purposes of supporting the regulation or advancement of  
 24 hunting, fishing, or trapping, or the protection, propagation,  
 25 restoration, management, or harvest of fish or wildlife,  
 26 including for administration, regulation, law enforcement, and  
 27 programs; and for salaries, support, maintenance, equipment,  
 28 and miscellaneous purposes:  
 29 ..... \$ 53,095,606  
 30     2. Notwithstanding [section 455A.10](#), the department may use  
 31 the unappropriated balance remaining in the state fish and game  
 32 protection fund to provide for the funding of health and life  
 33 insurance premium payments from unused sick leave balances  
 34 of conservation peace officers employed in a protection  
 35 occupation, as described in [section 97B.49B](#), who retire.

1     3. Notwithstanding [section 455A.10](#), the department may  
2 use the unappropriated balance remaining in the state fish  
3 and game protection fund for the fiscal year beginning July  
4 1, 2026, and ending June 30, 2027, as is necessary to fund  
5 salary adjustments for departmental employees for which the  
6 general assembly has made an operating budget appropriation in  
7 subsection 1.

8     Sec. 9. GROUNDWATER PROTECTION FUND — WATER QUALITY. There  
9 is appropriated from the groundwater protection fund created  
10 in [section 455E.11](#) to the department of natural resources for  
11 the fiscal year beginning July 1, 2026, and ending June 30,  
12 2027, from those moneys that are not allocated pursuant to  
13 that section, the following amount, or so much thereof as is  
14 necessary, to be used for the purposes designated:

15     For purposes of supporting the department's protection  
16 of the state's groundwater, including for administration,  
17 regulation, and programs, and for salaries, support,  
18 maintenance, equipment, and miscellaneous purposes:

19 ..... \$ 3,455,850

20     Sec. 10. GROUNDWATER PROTECTION FUND — INTEREST AND  
21 EARNINGS — WATER QUALITY.

22     1. There is appropriated from interest and earnings on  
23 moneys in the groundwater protection fund created in section  
24 455E.11 and accounts therein, as described in section 455E.11,  
25 subsection 1, paragraph "a", to the department of natural  
26 resources for the fiscal year beginning July 1, 2026, and  
27 ending June 30, 2027, the following amounts, or so much thereof  
28 as is necessary, to be used for the purposes designated, in the  
29 following order of priority:

30     a. For purposes of water quality monitoring, including  
31 providing grants to organizations across the state of Iowa and,  
32 at the department's discretion, continuous monitoring:

33 ..... \$ 300,000

34     b. For purposes of supporting the department's protection  
35 of the state's groundwater, including for administration,

1 regulation, and programs, and for salaries, support,  
2 maintenance, equipment, and miscellaneous purposes:  
3 ..... \$ 176,150

4 2. Any awarding of a grant to an organization pursuant  
5 to subsection 1, paragraph "a", must be agreed to by the  
6 department of agriculture and land stewardship, the department  
7 of natural resources, and the college of agriculture and life  
8 sciences at Iowa state university of science and technology.

9 3. Notwithstanding subsection 1, the amounts appropriated  
10 in this section shall not exceed the total amount of interest  
11 and earnings on moneys in the groundwater protection fund and  
12 accounts therein accrued during the fiscal year beginning July  
13 1, 2026. In addition, the amounts appropriated in this section  
14 shall only be made available after the maximum amount of such  
15 interest and earnings appropriated in this Act to the state  
16 university of Iowa is made available to the university.

17 Sec. 11. SPECIAL SNOWMOBILE FUND — SNOWMOBILE  
18 PROGRAM. There is appropriated from the special snowmobile  
19 fund created under [section 321G.7](#) to the department of natural  
20 resources for the fiscal year beginning July 1, 2026, and  
21 ending June 30, 2027, the following amount, or so much thereof  
22 as is necessary, to be used for the purposes designated:  
23 For purposes of administering and enforcing the state  
24 snowmobile programs:  
25 ..... \$ 100,000

26 Sec. 12. SPECIAL APPROPRIATIONS FROM GENERAL FUND. There  
27 is appropriated from the general fund of the state to the  
28 department of natural resources for the fiscal year beginning  
29 July 1, 2026, and ending June 30, 2027, the following amounts,  
30 or so much thereof as is necessary, to be used for the purposes  
31 designated:

32 1. FLOODPLAIN MANAGEMENT AND DAM SAFETY

33 a. For purposes of supporting floodplain management and dam  
34 safety:  
35 ..... \$ 1,510,000

1     b. Of the amount appropriated in this subsection, up to  
2 \$400,000 may be used by the department to acquire or install  
3 stream gages for purposes of tracking and predicting flood  
4 events and for compiling necessary data to improve flood  
5 frequency analysis.

6     c. Notwithstanding [section 8.33](#), moneys appropriated in  
7 this subsection that remain unencumbered or unobligated at the  
8 close of the fiscal year shall not revert but shall remain  
9 available for expenditure for the purposes designated until the  
10 close of the succeeding fiscal year.

11     2. FORESTRY HEALTH MANAGEMENT

12     a. For purposes of providing for forestry health management  
13 programs:

14 ..... \$     525,000

15     b. Notwithstanding [section 8.33](#), moneys appropriated in  
16 this subsection that remain unencumbered or unobligated at the  
17 close of the fiscal year shall not revert but shall remain  
18 available for expenditure for the purposes designated until the  
19 close of the succeeding fiscal year.

20     3. STATE PARK OPERATIONS

21     For supporting operations at state parks, including  
22 maintenance and repair of grounds and facilities:

23 ..... \$   1,000,000

24     4. STATE PARK MAINTENANCE

25     For structural and infrastructural repairs in state parks:

26 ..... \$     300,000

27                                 DIVISION III

28                                 IOWA STATE UNIVERSITY

29     Sec. 13. SPECIAL APPROPRIATIONS FROM GENERAL FUND. There  
30 is appropriated from the general fund of the state to Iowa  
31 state university of science and technology for the fiscal year  
32 beginning July 1, 2026, and ending June 30, 2027, the following  
33 amounts, or so much thereof as is necessary, to be used for the  
34 purposes designated:

35     1. VETERINARY DIAGNOSTIC LABORATORY — OPERATION

1     a. For purposes of supporting the college of veterinary  
2 medicine for the operation of the veterinary diagnostic  
3 laboratory, and for not more than the following full-time  
4 equivalent positions:  
5 ..... \$ 4,799,898  
6 ..... FTEs 51.00

7     b. (1) Iowa state university of science and technology  
8 shall not reduce the amount that it allocates to support the  
9 college of veterinary medicine from any other source due to the  
10 appropriation made in this subsection.

11     (2) Subparagraph (1) does not apply to a reduction made  
12 to support the college of veterinary medicine if the same  
13 percentage of reduction imposed on the college of veterinary  
14 medicine is also imposed on all of Iowa state university of  
15 science and technology's budget units.

16     2. VETERINARY DIAGNOSTIC LABORATORY — TRANSITION TO  
17 REFURBISHED FACILITY.

18     To assist the college of veterinary medicine veterinary  
19 diagnostic laboratory in installing and moving equipment into  
20 its refurbished facility:  
21 ..... \$ 122,000

22     3. MANAGEMENT OF PRIVATE FORESTS

23     a. For purposes of supporting the Iowa cooperative  
24 extension service in agriculture and home economics in  
25 providing technical support to landowners and loggers regarding  
26 the management of private forests in northeast Iowa, and for  
27 not more than the following full-time equivalent positions:  
28 ..... \$ 150,000  
29 ..... FTEs 1.00

30     b. The department of natural resources shall cooperate with  
31 the Iowa cooperative extension service in agriculture and home  
32 economics in administering this subsection.

33     4. LIVESTOCK DISEASE RESEARCH

34     a. For deposit in the livestock disease research fund  
35 created in [section 267.8](#):

1 ..... \$ 291,390  
2 b. Moneys appropriated under this subsection shall be used  
3 by Iowa state university of science and technology to support  
4 animal disease research in areas of importance to livestock  
5 producers.  
6 Sec. 14. IOWA NUTRIENT RESEARCH FUND — VETERINARY  
7 DIAGNOSTIC LABORATORY. Notwithstanding [section 466B.46](#), there  
8 is appropriated from the Iowa nutrient research fund created  
9 in [section 466B.46](#) to Iowa state university of science and  
10 technology for the fiscal year beginning July 1, 2026, and  
11 ending June 30, 2027, the following amount, or so much thereof  
12 as is necessary, to be used for the purposes designated:  
13 For purposes of supporting the college of veterinary  
14 medicine for the operation of the veterinary diagnostic  
15 laboratory:  
16 ..... \$ 120,000

17 DIVISION IV

18 STATE UNIVERSITY OF IOWA

19 Sec. 15. IOWA'S CENTER FOR AGRICULTURAL SAFETY AND HEALTH  
20 (I-CASH).  
21 1. There is appropriated from the general fund of the state  
22 to the state university of Iowa for the fiscal year beginning  
23 July 1, 2026, and ending June 30, 2027, the following amount,  
24 or so much thereof as is necessary, to be used for the purposes  
25 designated:  
26 For supporting the operations of Iowa's center for  
27 agricultural safety and health, as part of the university's  
28 college of public health, and in cooperation with the  
29 department of agriculture and land stewardship, to anticipate,  
30 recognize, and prevent occupational illness and injury among  
31 members of the agricultural community:  
32 ..... \$ 128,154

33 2. a. As a condition of the appropriation made in  
34 subsection 1, the state university of Iowa shall retain the  
35 director of Iowa's center for agricultural safety and health

1 employed on the effective date of this division of this Act for  
2 at least the same number of hours for the fiscal year beginning  
3 July 1, 2026, as worked by the director during the fiscal year  
4 beginning July 1, 2025.

5     b. As a condition of the appropriation made in subsection  
6 1, the state university of Iowa shall not reduce the amount  
7 allocated to support Iowa's center for agricultural safety and  
8 health from any other source due to the appropriation made in  
9 subsection 1.

10     3. If moneys appropriated in subsection 1 revert as required  
11 pursuant to [section 8.33](#), the state university of Iowa shall  
12 transfer to the general fund of the state from any otherwise  
13 unencumbered or unobligated moneys from any other general  
14 fund appropriation or from any moneys available from other  
15 funding sources an amount equal to the amount appropriated in  
16 subsection 1 less any amount that reverted to the general fund  
17 of the state pursuant to [section 8.33](#).

18     Sec. 16. IOWA GEOLOGICAL SURVEY — GROUNDWATER PLANNING AND  
19 RESOURCE ASSESSMENT PROJECT.

20     1. There is appropriated from the general fund of the state  
21 to the state university of Iowa for the fiscal year beginning  
22 July 1, 2026, and ending June 30, 2027, the following amount,  
23 or so much thereof as is necessary, to be used for the purposes  
24 designated:

25     For purposes of supporting a groundwater planning and  
26 resource assessment project to be administered by the Iowa  
27 geological survey of the state created pursuant to section  
28 456.1:

29 ..... \$     122,000

30     2. The moneys appropriated in subsection 1 shall be used  
31 by the Iowa geological survey to map and assess the condition  
32 of this state's aquifers. The Iowa geological survey may  
33 measure the volume of groundwater that is available for various  
34 uses, the current and predicted allocations of groundwater to  
35 support those uses, the recharge rate for the aquifers, and

1 the development of models for budgeting this state's water  
2 resources.

3 3. Notwithstanding [section 8.33](#), moneys appropriated in  
4 subsection 1 that remain unencumbered or unobligated at the  
5 close of the fiscal year shall not revert but shall remain  
6 available for expenditure for the purposes designated in  
7 subsection 1.

8 Sec. 17. GROUNDWATER PROTECTION FUND — IOWA GEOLOGICAL  
9 SURVEY.

10 1. There is appropriated from interest and earnings on  
11 moneys in the groundwater protection fund created in section  
12 455E.11 and accounts therein, as described in section 455E.11,  
13 subsection 1, paragraph "a", to the state university of Iowa  
14 for the fiscal year beginning July 1, 2026, and ending June 30,  
15 2027, the following amount, or so much thereof as is necessary,  
16 to be used for the purposes designated:

17 To support a groundwater planning and resource assessment  
18 project to be administered by the Iowa geological survey of the  
19 state:

20 ..... \$ 78,000

21 2. Moneys appropriated in subsection 1 shall be used by  
22 the Iowa geological survey to map and assess the condition  
23 of this state's aquifers. The Iowa geological survey may  
24 measure the volume of groundwater that is available for various  
25 uses, the current and predicted allocations of groundwater to  
26 support these uses, the recharge rate for the aquifers, and  
27 the development of models for budgeting this state's water  
28 resources.

29 3. Notwithstanding subsection 1, the amount appropriated  
30 in this section shall not exceed the total amount of interest  
31 and earnings on moneys in the groundwater protection fund and  
32 accounts therein accrued during the fiscal year beginning July  
33 1, 2026.

34 DIVISION V  
35 ENVIRONMENT FIRST FUND — GENERAL APPROPRIATIONS



1 habitat:  
2 ..... \$ 900,000  
3 b. Not more than 10 percent of the moneys appropriated  
4 in paragraph "a" may be used for costs of administration and  
5 implementation of soil and water conservation practices.  
6 4. SOIL AND WATER CONSERVATION  
7 a. For use by the department in providing for soil and water  
8 conservation:  
9 ..... \$ 8,325,000  
10 b. (1) Of the amount appropriated in paragraph "a", for  
11 transfer to the hungry canyons account of the loess hills  
12 development and conservation fund created in [section 161D.2](#):  
13 ..... \$ 140,000  
14 (2) Not more than 10 percent of the moneys transferred in  
15 subparagraph (1) may be used for administrative costs.  
16 c. Of the remaining amount appropriated in paragraph "a",  
17 for use by the department in providing for soil and water  
18 conservation administration, the conservation of soil and  
19 water resources, or the support of soil and water conservation  
20 districts:  
21 ..... \$ 8,185,000  
22 d. Of the amount appropriated in paragraph "c" that the  
23 department allocates to a soil and water conservation district,  
24 the first \$15,000 may be expended by the district for the  
25 purpose of providing financial incentives under [section 161A.73](#)  
26 to establish management practices for the control of soil  
27 erosion on land that is row-cropped, including but not limited  
28 to nontill planting, ridge-till planting, and contouring  
29 strip-cropping. Of any remaining amount of that appropriation  
30 allocated by the department to a district, 30 percent may be  
31 expended by the district for that same purpose.  
32 e. Not more than 5 percent of the moneys appropriated in  
33 paragraph "c" may be allocated for cost sharing to address  
34 complaints filed under [section 161A.47](#).  
35 f. Of the moneys appropriated in paragraph "c", 5 percent

1 shall be allocated for financial incentives to establish  
2 practices to protect watersheds above publicly owned lakes of  
3 the state from soil erosion and sediment as provided in section  
4 161A.73.

5 g. The department's division of soil conservation and  
6 water quality may allocate moneys appropriated in paragraph  
7 "c" to conduct research and demonstration projects to promote  
8 conservation tillage and nonpoint source pollution control  
9 practices.

10 h. The allocation of moneys as financial incentives as  
11 provided in [section 161A.73](#) may be used in combination with  
12 moneys allocated by the department of natural resources.

13 i. Not more than 15 percent of the moneys appropriated  
14 in paragraph "c" may be used for costs of administration and  
15 implementation of soil and water conservation practices.

16 5. SOIL AND WATER CONSERVATION — ADMINISTRATION

17 a. For use by the department for costs of administration and  
18 implementation of soil and water conservation practices:

19 ..... \$ 3,800,000

20 b. Of the moneys appropriated in paragraph "a", \$150,000  
21 is allocated to support field staff providing technical  
22 assistance.

23 Sec. 19. DEPARTMENT OF NATURAL RESOURCES. There is  
24 appropriated from the environment first fund created in section  
25 8.57A to the department of natural resources for the fiscal  
26 year beginning July 1, 2026, and ending June 30, 2027, the  
27 following amounts, or so much thereof as is necessary, to be  
28 used for the purposes designated:

29 1. STATE PARK MAINTENANCE AND OPERATIONS

30 For regular maintenance and operations of state parks and  
31 staff time associated with these activities:

32 ..... \$ 6,235,000

33 2. GEOGRAPHIC INFORMATION SYSTEM (GIS)

34 To provide local watershed managers with geographic  
35 information system data for their use in developing,

1 monitoring, and displaying results of their watershed work:  
2 ..... \$ 195,000

3 3. WATER QUALITY MONITORING

4 For continuing the establishment and operation of water  
5 quality monitoring stations:  
6 ..... \$ 2,955,000

7 4. PUBLIC WATER SUPPLY SYSTEM ACCOUNT

8 For deposit in the public water supply system account of the  
9 water quality protection fund created in [section 455B.183A](#):  
10 ..... \$ 500,000

11 5. REGULATION OF ANIMAL FEEDING OPERATIONS

12 For the regulation of animal feeding operations, including  
13 as provided for in [chapters 459, 459A, and 459B](#):  
14 ..... \$ 1,320,000

15 6. FLOODPLAIN MANAGEMENT AND DAM SAFETY

16 For supporting floodplain management and dam safety:  
17 ..... \$ 375,000

18 7. AMBIENT AIR QUALITY

19 For the abatement, control, and prevention of ambient  
20 air pollution in this state, including measures as necessary  
21 to assure attainment and maintenance of ambient air quality  
22 standards from particulate matter:  
23 ..... \$ 425,000

24 Sec. 20. STATE UNIVERSITY OF IOWA — IOWA GEOLOGICAL  
25 SURVEY. There is appropriated from the environment first  
26 fund created in [section 8.57A](#) to the state university of Iowa  
27 for the fiscal year beginning July 1, 2026, and ending June  
28 30, 2027, the following amounts, or so much thereof as is  
29 necessary, to be used for the purposes designated:

30 1. IOWA GEOLOGICAL SURVEY OPERATIONS

31 For purposes of supporting the operations of the Iowa  
32 geological survey of the state, including but not limited  
33 to providing analysis; data maintenance, collection, and  
34 compilation; investigative programs; and information for water  
35 supply development and protection:

1 ..... \$ 200,000

2 2. WATER RESOURCE MANAGEMENT

3 For purposes of supporting the Iowa geological survey in

4 measuring, assessing, and evaluating the quantity of water

5 sources in this state and assisting the department of natural

6 resources in regulating water quantity as provided in chapter

7 455B, subchapter III, part 4, pursuant to [sections 455B.262B](#)

8 and [456.14](#):

9 ..... \$ 495,000

10 Sec. 21. REVERSION.

11 1. a. Except as provided in paragraph “b”, and

12 notwithstanding [section 8.33](#), moneys appropriated for the

13 fiscal year beginning July 1, 2026, in this division of this

14 Act that remain unencumbered or unobligated at the close of

15 the fiscal year shall not revert but shall remain available

16 for expenditure for the purposes designated until the close of

17 the succeeding fiscal year, or until the project for which the

18 appropriation was made is completed, whichever is earlier.

19 b. Notwithstanding [section 8.33](#), moneys appropriated for

20 the fiscal year beginning July 1, 2026, in this division of

21 this Act to the department of agriculture and land stewardship

22 to provide financial assistance for the establishment of

23 permanent soil and water conservation practices that remain

24 unencumbered or unobligated at the close of the fiscal year

25 shall not revert but shall remain available for expenditure

26 for the purposes designated until the close of the fiscal year

27 beginning July 1, 2029.

28 2. Subsection 1 does not apply to moneys transferred

29 pursuant to this division of this Act to the loess hills

30 development and conservation fund created in [section 161D.2](#),

31 which shall not revert as provided in that section.

32 DIVISION VI

33 ENVIRONMENT FIRST FUND — SPECIAL APPROPRIATIONS

34 Sec. 22. WATER QUALITY INITIATIVE — DEPARTMENT OF

35 AGRICULTURE AND LAND STEWARDSHIP.

1     1. There is appropriated from the environment first fund  
2 created in [section 8.57A](#) to the department of agriculture  
3 and land stewardship for the fiscal year beginning July 1,  
4 2026, and ending June 30, 2027, the following amount, or so  
5 much thereof as is necessary, to be used for the purposes  
6 designated:

7     For deposit in the water quality initiative fund created in  
8 section 466B.45, for purposes of supporting the water quality  
9 initiative administered by the division of soil conservation  
10 and water quality as provided in [section 466B.42](#), including  
11 salaries, support, maintenance, and miscellaneous purposes:  
12 ..... \$ 2,375,000

13     2. a. The moneys appropriated in subsection 1 shall be  
14 used to support projects in subwatersheds as designated by the  
15 division that are part of high-priority watersheds identified  
16 by the water resources coordinating council established  
17 pursuant to [section 466B.3](#).

18     b. The moneys appropriated in subsection 1 shall be used to  
19 support projects in watersheds generally, including regional  
20 watersheds, as designated by the division and high-priority  
21 watersheds identified by the water resources coordinating  
22 council established pursuant to [section 466B.3](#).

23     3. In supporting projects in subwatersheds and watersheds  
24 as provided in subsection 2, all of the following apply:

25     a. The demonstration projects shall utilize water quality  
26 practices as described in the Iowa nutrient reduction strategy  
27 as defined in [section 455B.171](#).

28     b. The division shall implement demonstration projects as  
29 provided in paragraph "a" by providing for participation by  
30 persons who hold a legal interest in agricultural land used in  
31 farming. To every extent practical, the division shall provide  
32 for collaborative participation by such persons who hold a  
33 legal interest in agricultural land located within the same  
34 subwatershed.

35     c. The division shall implement a demonstration project on

1 a cost-share basis as determined by the division. However,  
2 except for edge-of-field practices, the state's share of the  
3 amount shall not exceed 50 percent of the estimated cost of  
4 establishing the practice as determined by the division or  
5 50 percent of the actual cost of establishing the practice,  
6 whichever is less.

7 d. The demonstration projects shall be used to educate other  
8 persons about the feasibility and value of establishing similar  
9 water quality practices. The division shall promote field day  
10 events for purposes of allowing interested persons to establish  
11 water quality practices on their agricultural land.

12 e. The division shall conduct water quality evaluations  
13 within supported subwatersheds. Within a reasonable period  
14 after accumulating information from such evaluations, the  
15 division shall create an aggregated database of water quality  
16 practices. Any information identifying a person holding a  
17 legal interest in agricultural land or specific agricultural  
18 land shall be a confidential record under [section 22.7](#).

19 4. The moneys appropriated in subsection 1 shall be used  
20 to support education and outreach in a manner that encourages  
21 persons who hold a legal interest in agricultural land used for  
22 farming to implement water quality practices, including the  
23 establishment of such practices in watersheds generally, and  
24 not limited to subwatersheds or high-priority watersheds.

25 5. The moneys appropriated in subsection 1 may be used  
26 to contract with persons to coordinate the implementation of  
27 efforts provided in this section.

28 6. The moneys appropriated in subsection 1 may be used by  
29 the department to support urban soil and water conservation  
30 efforts, which may include but are not limited to management  
31 practices related to bioretention, landscaping, the use of  
32 permeable or pervious pavement, and soil quality restoration.  
33 The moneys shall be allocated on a cost-share basis as provided  
34 in [chapter 161A](#).

35 7. Notwithstanding any other provision of law to the

1 contrary, the department may use moneys appropriated in  
2 subsection 1 to carry out the provisions of this section on a  
3 cost-share basis in combination with other moneys available to  
4 the department from a state or federal source.

5 8. Not more than 10 percent of the moneys appropriated in  
6 this section may be used to pay for the costs of administering  
7 and implementing the water quality initiative by the  
8 department's division of soil conservation and water quality as  
9 provided in [section 466B.42](#) and this section.

10

#### DIVISION VII

11

#### RESOURCES ENHANCEMENT AND PROTECTION — OPEN SPACES

12

13 Sec. 23. REAP — IN LIEU OF GENERAL FUND APPROPRIATION. In  
14 lieu of the standing appropriation in [section 455A.18](#), there is  
15 appropriated from the environment first fund created in section  
16 8.57A to the Iowa resources enhancement and protection fund  
17 for the fiscal year beginning July 1, 2026, and ending June  
18 30, 2027, the following amount, to be allocated as provided in  
19 section 455A.19:

19

..... \$ 12,000,000

20

21 Sec. 24. REAP — OPEN SPACES ACCOUNT — STATE PARK

22

23 MAINTENANCE, OPERATIONS, AND FACILITY REFURBISHMENT.

24

25 Notwithstanding section 455A.19, subsection 1, paragraph "a",  
26 subparagraph (1), of the moneys allocated to the open spaces  
27 account of the Iowa resources enhancement and protection fund,  
28 up to \$1,000,000 may be used by the department of natural  
29 resources for state park maintenance, development, operations,  
30 and facility refurbishment for the fiscal year beginning July  
31 1, 2026, and ending June 30, 2027.

29

#### DIVISION VIII

30

#### ANIMAL DISEASE PREPAREDNESS AND RESPONSE

31

32 Sec. 25. IOWA ANIMAL DISEASE PREVENTION FUND — DEPARTMENT  
33 OF AGRICULTURE AND LAND STEWARDSHIP.

33

34 1. There is appropriated from the Iowa animal disease  
35 prevention fund created in [section 165.18](#) to the department of  
agriculture and land stewardship for the fiscal year beginning

1 July 1, 2026, and ending June 30, 2027, the following amounts,  
2 or so much thereof as is necessary, to be used for the purposes  
3 designated:

4 a. For purposes of purchasing and maintaining equipment  
5 to further the implementation of the foreign animal disease  
6 preparedness and response strategy developed under section  
7 163.3C:

8 ..... \$ 150,000

9 b. For purposes of assisting in the development of vaccines  
10 against foreign animal diseases by a company based in Iowa that  
11 develops livestock and other animal vaccines:

12 ..... \$ 100,000

13 c. For deposit in the foreign animal disease preparedness  
14 and response fund created in [section 163.3B](#):

15 ..... \$ 200,000

16 d. For purposes of upgrading information technology  
17 resources used by the department:

18 ..... \$ 160,000

19 2. Notwithstanding [section 8.33](#), moneys appropriated in  
20 this section that remain unencumbered or unobligated at the  
21 close of the fiscal year shall not revert but shall remain  
22 available for expenditure for the purposes designated until the  
23 close of the succeeding fiscal year.

24 DIVISION IX

25 WATER QUALITY FUNDING

26 Sec. 26. REBUILD IOWA INFRASTRUCTURE FUND — SPECIAL  
27 APPROPRIATIONS. There is appropriated from the rebuild Iowa  
28 infrastructure fund created in section 8.57 to the Iowa finance  
29 authority for the fiscal year beginning July 1, 2026, and  
30 ending June 30, 2027, the following amounts, or so much thereof  
31 as is necessary, to be used for the purposes designated:

32 1. a. For deposit in the water quality financial assistance  
33 fund created in section 16.134A for the purposes of supporting  
34 the wastewater and drinking water treatment financial  
35 assistance program created in section 16.134:

1 ..... \$ 8,000,000  
2 b. The moneys appropriated in paragraph "a" shall be used to  
3 provide financial assistance, including grants, for projects  
4 designed to improve water quality by addressing point and  
5 nonpoint sources, with a higher prioritization provided to  
6 collaborative effort.  
7 2. For deposit in the rural Iowa infrastructure bank program  
8 fund created in section 16.240, as enacted in this division of  
9 this Act:  
10 ..... \$ 10,000,000  
11 Sec. 27. Section 16.134, subsection 4, paragraph i, Code  
12 2026, is amended to read as follows:  
13 i. An applicant shall not receive a grant that exceeds five  
14 ~~hundred thousand~~ one million dollars.  
15 Sec. 28. Section 16.134A, subsection 3, Code 2026, is  
16 amended to read as follows:  
17 3. ~~For~~ Except for moneys deposited in the fund for  
18 a specified purpose, for each fiscal year in the period  
19 beginning July 1, 2018 2026, and ending June 30, 2039, there  
20 is appropriated the following percentages of amounts from the  
21 balance of the fund for all of the following purposes:  
22 a. ~~Forty percent to the Iowa finance authority to support~~  
23 ~~the wastewater and drinking water treatment financial~~  
24 ~~assistance program created in section 16.134~~ Five hundred  
25 thousand dollars to the department of natural resources for  
26 the purposes of water quality monitoring, including, at the  
27 department's discretion, continuous monitoring.  
28 b. ~~Forty-five percent to the Iowa finance authority to be~~  
29 ~~credited to the water quality financing program fund created~~  
30 ~~pursuant to section 16.153.~~ The following percentages of moneys  
31 remaining in the fund for the following purposes:  
32 (1) Sixty-five percent to the Iowa finance authority to  
33 support the wastewater and drinking water treatment financial  
34 assistance program created in section 16.134.  
35 c. (2) Fifteen percent to the division of soil conservation

1 and water quality of the department of agriculture and land  
2 stewardship to support the water quality urban infrastructure  
3 program created in [section 466B.44](#).

4 (3) Twenty percent to the division of soil conservation  
5 and water quality of the department of agriculture and land  
6 stewardship for deposit in the water quality initiative fund  
7 created in section 466B.45 to provide technical assistance  
8 and support conservation practices, including but not limited  
9 to buffers, cover crops, edge-of-field structures, grazing  
10 systems, and working lands, in counties located in the  
11 following United States geological survey hydrologic unit code  
12 8 watersheds:

13 (a) Boone.

14 (b) East fork Des Moines.

15 (c) Middle Des Moines.

16 (d) North Raccoon.

17 (e) South Raccoon.

18 (f) Upper Des Moines.

19 Sec. 29. Section 16.152, Code 2026, is amended by adding the  
20 following new subsections:

21 NEW SUBSECTION. 5. The authority shall not initiate any  
22 new loans under this part after June 30, 2026. Any loan or  
23 interest payments received by the authority on or after July  
24 1, 2026, shall be deposited in the water quality financial  
25 assistance fund created pursuant to section 16.134A for the  
26 purposes of supporting the wastewater and drinking water  
27 treatment financial assistance program created in section  
28 16.134.

29 NEW SUBSECTION. 6. For the fiscal year beginning July 1,  
30 2026, and ending June 30, 2027, the authority shall allocate  
31 a sum not to exceed twenty-five million dollars from any  
32 unencumbered or unobligated moneys in the water quality  
33 financing program fund to a regional water authority, with  
34 membership consisting of public utilities, as defined in  
35 section 476.1, rural water districts organized and existing

1 under chapter 357A, and other governmental entities, which  
2 serves a population of at least six hundred thousand and  
3 is headquartered in the most populous county in the state  
4 based on the 2020 federal decennial census, for the purpose  
5 of constructing and installing additional nutrient removal  
6 technology. These moneys shall remain available for  
7 expenditure until June 30, 2029.

8 NEW SUBSECTION. 7. Any unencumbered or unobligated moneys  
9 in the water quality financing program fund created pursuant to  
10 section 16.153 remaining after July 31, 2026, are transferred  
11 to the water quality financial assistance fund created pursuant  
12 to section 16.134A, to be used for purposes specified in  
13 section 16.134A, subsection 3, paragraph "b", subparagraph  
14 (3). An amount equal to the amount of moneys obligated by the  
15 authority prior to July 1, 2026, shall remain in the water  
16 quality financing program fund.

17 NEW SUBSECTION. 8. This part is repealed on the date that  
18 all loans made pursuant to this part are paid in full. The  
19 authority shall notify the Iowa Code editor of this occurrence.

20 Sec. 30. NEW SECTION. 16.240 Rural Iowa infrastructure bank  
21 revolving loan program — fund.

22 1. As used in this section, "*small or medium sized*  
23 *community*" means a city with a population of eleven thousand or  
24 less.

25 2. The authority shall establish and administer a rural  
26 Iowa infrastructure bank revolving loan program. The purpose  
27 of the program is to provide loans to small or medium sized  
28 communities to upgrade water or wastewater infrastructure.

29 3. a. A small or medium size community shall apply to the  
30 authority for a loan under the program in a manner approved by  
31 the authority.

32 b. Loan agreements may contain terms and conditions the  
33 authority deems advisable, but the interest rate on any loan  
34 shall not exceed one percent.

35 4. A rural Iowa infrastructure bank program fund is created

1 in the state treasury under the control of the authority and  
2 consisting of moneys appropriated by the general assembly and  
3 any other moneys available to and obtained or accepted by the  
4 authority for placement in the fund. Moneys in the fund are  
5 appropriated to the authority for the purpose of providing  
6 loans to small or medium sized communities under the program  
7 established in this section. Repayments of moneys loaned and  
8 recaptures of loans shall be deposited in the fund. Moneys  
9 in the fund are not subject to section 8.33. Notwithstanding  
10 section 12C.7, interest or earnings on moneys in the fund shall  
11 be credited to the fund.

12 5. The authority may adopt rules pursuant to chapter 17A to  
13 administer this section.

14 Sec. 31. CODE EDITOR DIRECTIVE. The Code editor is directed  
15 to designate section 16.240, as enacted by this division of  
16 this Act, as chapter 16, subchapter X, part 12, entitled "Rural  
17 Iowa Infrastructure Bank Revolving Loan Program".>

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TOM SHIPLEY